Welcome to investing, my friends. We can own shares of a business, we can earn money from the profits of other companies, we can take part in the stock market. And all of it can yield compounded interest allowing us to retire well, care for our family and friends, and give back to those around us.

This is a personal finance book, not an encyclopedia, so we don't have the space to cover how to invest. There are a lot of great books on that already—we've listed our favorites in the resources page for this book at frugalfriendspodcast.com/book. So, we want to leave you with what we believe to be the most important principles for values-based investing.

When we say investing, we mean for retirement, prioritizing tax-advantaged accounts. "Tax advantaged" accounts just mean you save money on taxes, either in the current year or in the year you withdraw your money from the account. The two types to start with are:

A Roth IRA or traditional IRA, depending on your income level. This can be done through a brokerage like Vanguard, Fidelity, Schwab, etc. IRA stands for individual retirement account, meaning you can open one on your own—you don't need your employer or a financial advisor for it.

A 401(k), 403(b), 457(b), or other employer-sponsored plan. This account can be Roth or traditional just like an IRA, but you can only get it through your employer. Meaning you don't have control over where it's at, what it costs, and possibly even what your money is invested in. While 92 percent of state and local government employees have access to a retirement plan, only 69 percent of private industry employees have access. If you are fortunate enough to have one, always take your employer's match. A match is not "free money," it's part of your compensation package that you can choose to refuse. If you're self-employed, there are options, like a solo 401(k).

To wrap up our conversation on investing, we'll mention one of the vital few ways to save money that we didn't talk about in chapter 6: investment fees. The average fee for a financial advisor is over 1 percent of assets under their management, i.e., your money. Which doesn't seem like a lot until you get to $100,000 invested. By that point, you'll be paying about $84 per month to have your money sit with this advisor. That's in addition to any other fees associated with putting money in or taking money out. You're not just losing money to fees but missing out on the compound interest that money could be making you. According to a 2023 report by the